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FINANCIAL MARKETS INFRASTRUCTURE

# Hybrid FMI Is the Destination

What the IMF and OECD tell institutions about  
tokenization's real trajectory.

July 2026

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## THE CONVERGENCE

# Two multilateral bodies. One structural conclusion.

### **IMF · WP/26/136**

#### SUPPLY SIDE

Which FMI functions can migrate on-chain — and which cannot.

### **OECD · Policy Papers No. 75**

#### DEMAND SIDE

Why tokenized markets have not yet scaled.

**Both conclude: tokenization **reconfigures** financial market infrastructure — it does not eliminate it.**

Smart contracts absorb record-keeping, settlement, collateral and reporting. They cannot absorb legal certainty, governance, oversight or judgment.

## THE MULTILATERAL CONSENSUS

# Three findings both papers share.

**01** Hybrid FMI is the structural outcome — the durable endpoint, not a transition.

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**02** Settlement asset interoperability is the critical near-term constraint.

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**03** Regulatory fragmentation is suppressing adoption more than technology readiness.

## THE DIVIDING LINE

# What code absorbs — and what stays institutional.

### MIGRATES ON-CHAIN

- ✓ Record-keeping
- ✓ Settlement finality
- ✓ Collateral management
- ✓ Reporting & surveillance

### REMAINS INSTITUTIONAL

- ◆ Governance & discretion
- ◆ Legal enforceability
- ◆ Systemic oversight

The functions that remain institutional require human accountability, legal enforceability and discretion — not temporary frictions waiting to be coded away. [IMF WP/26/136](#) · [OECD No. 75](#)

## THE IMF LEDGER TAXONOMY

# Not a menu. A migration path.

The IMF sorts tokenized platforms into three architectures. They aren't equal options — they are stages in how institutions adopt.

**Compatible**  
Today | DLT for specific functions; settlement still coordinated off-chain. Lowest risk — **start here.**



**Common**  
3–5 years | Multiple ledgers linked by a shared interface, with shared governance. **The decision zone.**



**Single**  
Destination | All assets & participants on one shared ledger — atomic DvP, full automation. **The long-run target.**

Jumping ledger types without the governance foundation is where programs fail most expensively.

FOR FINANCIAL INSTITUTIONS

# Five strategic imperatives.

- 1** Adopt the IMF ledger taxonomy as your sequencing framework
- 2** Resolve the settlement asset decision before scaling distribution
- 3** Treat governance design as a first-order architecture input
- 4** Solve liquidity bootstrapping as a strategic challenge
- 5** Align tokenization with the Convergence Economy thesis

## 1

## STRATEGIC IMPERATIVE · 1 OF 5

# Adopt the IMF ledger taxonomy as your sequencing framework.

The three-ledger typology is a sequencing logic — each type a distinct stage of institutional maturity. Jumping stages is where programs fail most expensively.

- A **sequencing logic, not a menu** of equal options.
- Most institutions already sit in **Compatible** — often without a framework for what comes next.
- Sequence **Compatible** → **Common**; don't leap straight to Single.
- Each stage adds efficiency — but demands more **governance & legal maturity**.

## THE IMF THREE-LEDGER TYPOLOGY

**Compatible ledger** — DLT for specific functions; settlement stays off-chain. (today)

**Common ledger** — multiple ledgers joined by a shared interface & governance. (3–5 yrs)

**Single ledger** — one shared ledger for all assets, balances & participants; atomic DvP. (destination)

**Assess where you sit today, name your target state, and sequence the path between — one ledger type at a time.**

**2****STRATEGIC IMPERATIVE · 2 OF 5**

# Resolve the settlement asset decision before scaling distribution.

Settlement asset selection is upstream of distribution. Untested assumptions are embedded risk that only becomes visible under stress.

- **wCBDC** — central bank money, no credit risk, but not operational at scale (2027–2028 at the earliest).
- **Tokenized deposits** — the near-term bridge; carries issuing-bank credit and cross-border FX risk.
- **Stablecoins** — most accessible, but issuer credit and regulatory uncertainty; corridor-specific.
- Stress-test for a **5-year wCBDC delay** — and build wCBDC compatibility in now.

**CROSS-BORDER INTEROPERABILITY — A PREREQUISITE**

**BIS Hub Project Meridian** — cross-border wCBDC & unified-ledger interoperability.

**SWIFT digital-asset connectivity** — bridging traditional and DLT settlement.

Neither is finished — treat both as constraints, not assumed solutions.

**Settle it early and explicitly — before pipelines are built and counterparties committed.**

## 3

## STRATEGIC IMPERATIVE · 3 OF 5

# Treat governance design as a first-order architecture input.

The IMF calls governance and legal certainty irreducibly institutional; the OECD shows legal rights differ by jurisdiction. Governance is the foundation, not a later layer.

- Governance requirements **escalate as ledger integration deepens**.
- Retrofitting governance costs an **order of magnitude more** than designing it in.
- Map rights & custody **jurisdiction by jurisdiction** — Luxembourg already diverges.
- Extend model risk to **oracle, smart-contract and TWAP** manipulation risks.

## GOVERNANCE REQUIREMENTS BY LEDGER LEVEL

**Compatible** — legal wrappers, custody obligations, investor rights.

**Common** — shared default-fund rules, loss mutualization, dispute resolution.

**Single** — protocol-level governance for automated liquidation & finality.

**Design governance in parallel with the technical build — never as a later review.**

## 4

## STRATEGIC IMPERATIVE · 4 OF 5

## Address liquidity bootstrapping as a strategic challenge.

Tokenized assets need critical mass before network effects activate — a coordination failure no product design solves on its own.

- Waiting for standards to settle is **optionality-forfeiting**, not risk management.
- First-mover partnerships and ecosystem intelligence are **strategic assets**.
- A platform's value is the **network it can access on day one**.
- Network effects are competitive moats; the **first-mover window is narrow**.

### SOURCES OF DAY-ONE LIQUIDITY

**Primary dealers** — liquidity backstops for secondary instruments.

**Custodians** — infrastructure plus investor-network access.

**Distribution partners** — an existing base for the target instrument.

**Anchor investors** — first-mover commitment structures.

**Solve network formation deliberately — build the ecosystem before competitors do.**

5

STRATEGIC IMPERATIVE · 5 OF 5

# Align tokenization with the Convergence Economy thesis.

Two cost inputs — cognitive labor and transaction coordination — are compressing at once, generating structural surplus that is real, persistent and contested.

- The IMF quantifies **transaction-coordination** compression; AI compresses **cognitive labor**.
- Governance & discretion remain the **non-substitutable human input** in both.
- A **standalone** tokenization program extracts a fraction of the value.
- The two vectors share the **same governance and legal foundations**.

## THE TWO COST-COMPRESSION VECTORS

**Transaction coordination** — atomic DvP, collateral automation, on-chain default funds (IMF).

**Cognitive labor** — AI-augmented workflows with human oversight at judgment points.

Governed together, the coordination advantage compounds across functions.

The surplus is largest for institutions that govern **both vectors** together.

## THE TENSION TO WATCH

# The wCBDC timeline risk is underpriced.

Wholesale CBDC is **years from operational readiness at scale** — plausibly 2027–2028 at the earliest, and likely later.

Tokenized deposits are the **bridge, not the destination** — and that bridge carries credit and cross-border FX risk.

**Stress-test your settlement asset strategy against a 5-year wCBDC delay.**

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## THE BOTTOM LINE

# Hybrid architecture is not a compromise. It is the durable endpoint.

The functions that stay institutional aren't temporary frictions waiting to be coded away. The next 12–18 months of design decisions determine who leads the transition — and who remediates later.

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# Read the full brief.

The complete synthesis — architecture guidance, sequencing risk, and the five imperatives in depth.

**[intelligence.nextfiadvisors.com](https://intelligence.nextfiadvisors.com)** →